

ESTATE OF DEREIS

10PR7129

PERSONAL REPRESENTATIVE'S MOTION FOR OSC TO ENFORCE RULINGS AT HEARING

This matter involves a lengthy dispute about the disposition of the assets of the Estate of Joseph Dereis ("Estate"). Deborah Burke ("Burke") is the daughter of the decedent and the Personal Representative of the Estate. Steven Dereis ("Steven")¹ is the son of the decedent and has sons, Austin and Joseph Dereis, who are his heirs to the Estate. The Estate was administered and closed on December 2012.

In January of 2021, Austin and Joseph filed a complaint against Burke for partition of real property and accounting. In or about 2023, the Probate Court granted Burke's Petition for Subsequent Administration on the grounds that Burke had discovered that Steven may have improperly kept property out of the Estate. Specifically, the probate matter was reopened to determine if two vehicles, a 1969 Ford Mustang ("1969 Mustang") and a 1965 Ford Mustang ("1965 Mustang") (collectively "Mustangs") which were in Steven's possession should have been included in the Estate.

On August 21, 2023, the Civil and Probate matters were consolidated. A one-day hearing commenced and on May 17, 2024, the Court entered an Order after Hearing ("Order"). Pursuant to the Order, the Court found that the Mustangs should have been included in the Estate. (Order, ¶ 1.) The Order further stated that the Estate ownership was 25% to Joseph, 25% to Austin and 50% to Burke.

The Order also found that the decedent owned many Hot Wheels and silver coin collections, and that these items were also properly part of the Estate.

On January 3, 2015, the Court granted in part, and denied in part, Burkes' Motion for an Order to Show Cause to Steven why he should not be ordered to comply with the Court's earlier Order. Specifically, the tentative ruling stated:

The Court finds Steven IS in contempt of the Order as to the Hot Wheels. The Court orders that the appropriate sanction against Steven for his willful failure to comply

¹ Given the common surname among many of the parties, the Court refers to each by their first name. No disrespect is intended.

with this Court's 5/16/24 Order is that he pay \$75,000 (\$5 each for 15,000 withheld hot wheels) to the Estate's Personal Representative Deborah Burke by 5:00 p.m. on 1/31/25 to be distributed on the 50/25/25 basis detailed in the Court's Order of 5/16/24.

After the hearing, the Court ordered the parties to provide supplemental briefing on the location of the hot wheels.

II. Legal Standard

Pursuant to Code Civil Procedure section 1209(a)(5), contempt occurs whenever there is "disobedience of any lawful judgment, order, or process of the court." When, as is the case here, the contempt occurs outside of the presence of the Court, "an affidavit shall be presented to the court or judge of the facts constituting the contempt. . . (CCP §1211(a).) Once the affidavit is presented and accepted, the Court may order the offending party to show cause as to why they should not be held in contempt.

"The essential facts to establish contempt for violation of a court order are: 1) the making of the order, 2) knowledge of the order, 3) ability of the respondent to render compliance, and 4) willful disobedience of the order." (*Moore v. Superior Court*, (2020) 57 Cal.App.5th 441, 456.)

III. Legal Discussion

As stated in the previous ruling, there is no argument that there was the making of an order and that Steven Dereis was aware of that Order. The primary issue here is whether Steven has the ability to comply with the order and whether there was willful disobedience of the Order.

Previously, the Court took issue with the fact that in his opposition, Steven failed to provide any declaration in support and failed to deny possessing any of the Hot Wheels. Instead, at that time, Steven only submitted the declaration of his attorney who argued that it was too late for Burke to try to prove that Steven does in fact own any Hot Wheels. This, however, as the Court held, was insufficient to show that Steven does not have the ability to comply with the Court's Order to turn over any and all Hot Wheels in his possession or control.

As part of his supplemental opposition, Steven now provides a declaration related to the Estate property. As regards the Hot Wheels, Steven avers that he moved at least some portion of the Hot Wheels from his parent's property ("Estate Property") to a "safer location." (Declaration of Steven DeReis ("DeReis Decl.") ¶ 3.) Steven then avers that he moved the Hot Wheels first to his personal property and then to Burke's home. (*Id.* ¶ 4.) He states he moved the "entire Hot Wheel collection" to Burke's home but that at some point in 2018, Burke's husband Shawn asked him to store the Hot Wheels for some period of time. (*Id.* ¶ 6.) Steven avers that he refused to take possession of the Hot Wheels in 2018. (*Ibid.*)

However, the location of the Hot Wheels is still unclear. Despite stating that he gave them all to Burke, Steven also testifies that he built the garage on the Estate Property to house the Hot Wheels and that he had the key and lock to said garage. (*Id.* ¶ 9.) Steven avers that he was responsible for the upkeep and care of the Estate Property. (*Id.* ¶ 10.)

In the Court's tentative ruling of January 3, 2015, the Court took particular note of the declaration of Arnie Mozetti ("Mozetti Decl") and a 2018 letter from DDA Seth Matthews ("DDA Letter"). In that letter, the DDA Matthews states that in early 2018, a collection of Hot Wheels was moved from the Estate Property and into a trailer. At that time, the investigation revealed that a neighbor, Dennis Henderson, knew that there was a vast collection of Hot Wheels on the Estate Property. The DDA Letter corroborated the facts set forth in the Mozetti Declaration, in which Mr. Mozetti averred that he assisted Steven in moving "1/2 of a two car garage of the Hot Wheel cars from Joseph DeReis' extensive collection. We brought all of the Hot Wheel Cars to Steven DeReis' shop in Fremont." (Mozetti Decl. ¶ 2.) However, in 2021, Steven told the investigators that he had "not taken" any items from the Estate. (DDA Letter, ¶ 11.)

In his declaration, Steven does not address the significant evidence that he had assistance in moving a large quantity of the Hot Wheels to his shop in Fremont. His statements in his declaration are confusing, because he admits to moving the Hot Wheels from the Estate Property, but also states that he remained in charge of the Hot Wheels stored on the Estate Property. Steven also told the law enforcement investigator that he did not take any of the Estate Property when asked in 2021, but in his opposition now tries to clarify that he did not "take" any of the property but he did "move" the property. (Steven Decl. ¶ 17.) Most concerning to the Court is the fact that

Steven never straightforwardly avers that he does not possess any of the estate Hot Wheels at this time.

The Court finds Steven's declaration to be insufficient to determine that he was not in contempt of the Court's order regarding the Hot Wheels.

Burke seeks an adjustment to the Court's order regarding the amount of money the Hot Wheels are worth, asking the Court to increase the value from \$75,000 to \$100,000. Burke had the opportunity to present evidence of the specific value of the Hot Wheels in the earlier briefing and failed to do so. Although Burke has now provided declarations seeking to place a greater value on the collection, the Court is not inclined to revisit the value of the Hot Wheels.

IV. Conclusion

The Court finds Steven **IS in contempt of the Order as to the Hot Wheels**. The Court orders that the appropriate sanction against Steven for his willful failure to comply with this Court's 5/16/24 Order is that **he pay \$75,000 (\$5 each for 15,000 withheld hot wheels) to the Estate's Personal Representative Deborah Burke by 5:00 p.m. on 1/31/25 to be distributed on the 50/25/25 basis detailed in the Court's Order of 5/16/24.**

The Court finds Steven is **NOT in contempt of the Order related to the 1965 Mustang**.

In light of this continued mixed ruling, the Court **DENIES** the request to award Steven's counsel **attorney's fees** as sanctions.

The Clerk shall provide notice of this Ruling to the parties forthwith. Burke to prepare a formal Order complying with Rule of Court 3.1312 in conformity with this Ruling.

GENESIS PVB, LLC v GRAFER

18CV43485

DEFENDANT'S MOTION FOR ENTRY OF JUDGMENT

This case involves a failed venture to cultivate marijuana for profit. On August 12, 2024, Defendant/Cross-Complainant George Grafer ("Grafer") entered into a settlement agreement with Cross-Defendant Craig Bordon ("Bordon") at a judicially supervised settlement conference. Now before the Court is Grafer's Motion for Entry of Judgment Pursuant to Code of Civil Procedure section 664.6 ("Motion").

At the outset, the Court notes that the Motion does not comply with Local Rule 3.3.7. All matters noticed for the Law & Motion calendar shall include the following language in the notice:

3.3.7 Tentative Rulings (Repealed Eff 7/1/06, As amended 1/1/18) All parties appearing on the Law and Motion calendar shall utilize the tentative ruling system. Tentative Rulings are available by 2:00 p.m. on the court day preceding the scheduled hearing and can be accessed either through the court's website or by telephoning 209-754-6285. The tentative ruling shall become the ruling of the court, unless a party desiring to be heard so advises the Court no later than 4:00 p.m. on the court day preceding the hearing including advising that all other sides have been notified of the intention to appear by calling 209-754-6285. Where appearance has been requested or invited by the Court, all argument and evidence is limited pursuant to Local Rule 3.3. All matters noticed for the Law & Motion calendar shall include the following language in the notice:

Pursuant to Local Rule 3.3.7, the Court will make a tentative ruling on the merits of this matter by 2:00 p.m. the court day before the hearing. The complete text of the tentative ruling may be accessed on the Court's website or by calling 209-754-6285 and listening to the recorded tentative ruling. If you do not call all other parties and the Court by 4:00 p.m. the court day preceding the hearing, no hearing will be held and the tentative ruling shall become the ruling of the court [emphasis in original.]

Failure to include this language in the notice may be a basis for the Court to deny the motion.